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ESS Battery

June shipments above 100GWh, +3% m/m and +66% y/y despite a high base; FY26 on track to 1,100Gwh

Global ESS battery shipments exceeded 100GWh in Jun-26, rising 66% y/y and 3% m/m, according to ICCSino. This brought 1H26 shipments to 508GWh, up 98% y/y, on track to meet or beat J.P. Morgan's FY26 forecast of 1.1TWh (+78% y/y). Shipments accelerated in 2Q26, although y/y growth moderated due to a high base. China domestic demand remained the primary growth engine, accounting for 45% of global demand and growing >140% y/y in 1H26. Among overseas markets, the EU and RoW represented 19% and 26% of global demand, respectively, with both recording growth of >130% y/y; meanwhile, US demand is increasingly being captured by KR/JP suppliers. **Looking ahead, July-August production schedules remain constructive, with most ESS battery makers targeting 3-4% m/m growth and July shipments tracking well across both domestic and overseas markets.** BYD is the exception, given a partial reallocation of production from ESS to EV batteries, according to ICCSino's latest forecasts. **Overall, ESS demand remains intact and continues to show strong momentum YTD.** However, ESS value-chain stocks have corrected materially from their recent peaks, largely reversing their earlier YTD gains. We believe the pullback reflects: (1) technical and near-term sentiment headwinds surrounding CATL and the broader ESS and battery sector; and (2) growing investor concerns over the sustainability of the current pace of China domestic ESS installation and shipments growth. Among J.P. Morgan's Asia ESS value chain coverage, our top picks are **CATL** (global leader with market share gains in non-US regions), **Sungrow** (re-rating potential from direct sales to data centers on new use cases), **Deye** (riding distributed-generation ESS with strong emerging market exposure), **LGES** and **SDI** (well positioned for US ESS opportunities). ESS is also increasingly important for **BYD**, contributing >20% of its total battery shipments in 2026.

ESS installations: US +11% y/y in 5M26, China sets 2030 ESS target at 300GW

- **China issued a 2030 ESS target of 300GW for the first time:** 15th Five-Year Plan for New Energy System targeted 300GW energy storage by 2030. This is mentioned for the first time in official government plans. The NDRC previously targeted 180GW ESS capacity by 2027, and we expect China to beat this target. A target of 300GW ESS by 2030 seems conservative, but directionally supportive. Importantly, it points to continued development into 2028-30. For details, please refer to our report ([link](#)).
- **US BESS installations +11% y/y in 5M26.** US BESS installation reached 570MW in May-26, bringing 5M26 to 5.6GW, up 11% y/y, per the EIA. We continue to see strong US BESS demand in 2026, in part due to a tight power market from AIDCs. *J.P. Morgan view: These data-points are a positive read-across to Sungrow and Korean battery makers.*
- **Chinese ESS integrators taking 76% global share, with Sungrow & BYD ranked No. 2 & 3.** Wood Mackenzie released the Global Energy Storage System Integrator Market Share Report ([link](#)), which finds that Chinese storage system integrators held 76% of global share in 2025, with eight of the

Asia Autos & EV Battery

Rebecca Wen ^{AC}

(852) 2800-8505
rebecca.y.wen@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Alan Hon ^{AC}

(852) 2800-8573
alan.hon@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Cathy Liu

(852) 2800-8629
cathy.xiao.liu@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Daqi Jiao

(852) 2800-8595
daqijiao@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Sonny Lee

(82-2) 758 5716
sonny.lee@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul Branch

Parsley Ong

(65) 6882-8578
parsley.rh.ong@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Nick Lai

(65) 6801-3176
nick.yc.lai@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Stephen Tsui, CFA

(852) 2800-8592
stephen.tsui@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

top ten headquartered in China; **Tesla** and **Sungrow** remain No.1 and No.2, and **BYD** rises to No.3. As the market expands, the top three's combined share declines and competition broadens. Sungrow was ranked No.2 in North America & Middle East and No.1 in Europe & Latin America. Note that Sungrow's share price has pulled back due to concerns over geopolitical tensions, and we view its current valuation as attractive and maintain OW on Sungrow.

Global ESS battery shipments: +98% y/y in 1H26

- **Global ESS battery demand remained strong in June although y/y growth moderated to 66% on a high base.** The moderation from over 100% y/y growth in previous months to 66% y/y in June primarily reflected a high Jun-25 base, partly associated with shipment pull-forward ahead of anticipated policy changes, including the US IRA and tariffs and China's Doc 136. Sequential shipment growth also moderated to 3–4% m/m in May-June, versus double-digit growth in March-April, mainly due to capacity constraints. June growth was driven mainly by China domestic demand (>180% y/y) and robust China exports to all ex-US regions (>80% y/y). Global ESS battery supply remains China-led (at a 97% share) in 1H26, while demand is balanced at ~55% overseas and ~45% domestic.
- **Chinese ESS battery exports surged 133% y/y to the EU and 136% y/y to RoW in 1H26.** 2Q26 sustained the strong trajectory in ESS exports with 25% q/q and 56% y/y growth despite changes in export tax rebate policy (export tax rebate reduced from 9% to 6% from 1 April). **US ESS battery sourcing is continuously shifting away from Chinese suppliers towards KR players,** with KR/JP shipments surging ~190% y/y, while Chinese player ESS shipments to the US fell ~40% y/y in 1H25. US battery import data also confirms this trend: China-origin lithium battery shipments declined 52% y/y in 5M26, while Korea-origin shipments (largely from SDI) rose ~40% y/y, underscoring the ongoing sourcing shift as OBBBA regulations remain effective.
- **Distributed storage added a second growth engine, while utility-scale remained the volume backbone.** Utility-scale shipments reached ~380 GWh in 1H26, up ~90% y/y, accounting for 77% of Chinese players' shipments (down from 81% in FY25). C&I and residential shipments grew faster, rising 150% and 130% y/y in 1H26. We see this as a broadening of the industry's growth drivers: utility-scale remains critical for absolute volume, while C&I and residential storage offer incremental growth and potentially greater differentiation through channels, products and regional exposure.
- **The market's focus has shifted to 2027 demand - should we be worried about demand sustainability?** We see limited risk of broad ESS growth deceleration in 2H26, but flag a higher China-specific shipment slowdown risk from 2H27. We highlighted in our 2-June [report](#) that the latest NDRC target calls for 180GW of China ESS installed capacity by 2027 (vs. ~75GW in 2024), while J.P. Morgan's base case already assumes installations to exceed 320GW by 2027. That points to potential overachievement of the official target and, by extension, the risk of a sharp slowdown or decelerated growth in 1H28. We forecast China ESS installation growth to decelerate to 4% in 2028 from 25% in 2027, with a more meaningful slowdown likely in 1H28; because ESS battery shipments typically lead installations by about six months, shipment deceleration risk could begin as early as 2H27. **However, we believe any post-2027 softness may be temporary rather than structural,** as underlying storage needs tied to rising renewable penetration should keep growth intact into 2030, with China's renewable mix expected to rise from ~24% by end-2025 toward ~35% by 2030 and ESS penetration catching up from ~7% toward ~18% (still consistent with markets like the UK, where storage remains a grid priority even near ~18% penetration). Finally, **other demand drivers may cushion any China ESS slowdown,** as China ESS is expected to be less than 20% of total battery demand in 2026 and overseas ESS, particularly Europe and emerging markets,

likely to be the more important contributor to battery growth.

Recommendations

The table below summarizes the key relevant stocks under J.P. Morgan Asia equity coverage and their exposure to the ESS business.

- **Largest PCS supplier – Sungrow (OW):** Sungrow is the world's largest solar inverter producer by volume, gaining market share in recent years due to cost advantage. Sungrow offers superior product quality and stronger brand recognition compared to domestic peers. We expect Sungrow to benefit from robust ESS demand and rising orders from utilities and data centers.
- **Deye (OW)** is a distributed generation (DG) energy storage (ESS) producer with first-mover advantage in emerging markets (EM). Near term, energy supply shocks are accelerating DG solar+storage adoption, especially where diesel DG was prevalent. Longer term, policy may shift toward resilience, supporting sustained growth. Deye's appliance legacy supports cost leadership via rising in-house fabrication.
- **China ESS battery: CATL (OW)** is the largest ESS battery maker globally and our top pick in China's battery value chain. **EVE Energy (N)** has the highest ESS exposure among covered battery makers, followed by **CALB (OW)**. We also favor **BYD (OW)**, given strong demand for its EV models in overseas markets and benefits from vertical integration in EV and ESS.
- **Korean battery players see improved opportunities and margins in US ESS.** **LGES's (OW)** ESS order win momentum has been strong, and we estimate that the company has the largest LFP ESS order backlog among Korean battery makers. **SDI's (OW)** ESS visibility is also improving: US battery import data indicate that China-origin shipments have fallen further since July 2025 (post-OBBBA), while Korea-origin (largely SDI) shipments have risen sequentially, supporting an ongoing sourcing shift as US regulations remain effective.

Summary of ESS-related stocks under J.P. Morgan coverage

Table 1: Summary of ESS value chain stocks under J.P. Morgan coverage

Company	Ticker	Cover Analyst	JPM Rating	ESS business	ESS revenue exposure			ESS volume exposure		
					FY25A	FY26E	FY27E	FY25A	FY26E	FY27E
CATL	300750 CH	Rebecca Wen	OW	ESS battery	15%	18%	22%	18%	22%	26%
CALB	3931 HK	Rebecca Wen	OW	ESS battery	32%	26%	29%	41%	39%	42%
EVE Energy*	300014 CH	Rebecca Wen	N	ESS battery	40%	38%	40%	59%	54%	56%
Gotion	002074 CH	Rebecca Wen	UW	ESS battery	19%	21%	24%	30%	33%	37%
BYD-H	1211 HK	Nick Lai	OW	ESS battery	4%	5%	n/a	20%	27%	n/a
LGES	373220 KS	Parsley Ong	OW	ESS battery	13%	33%	41%	8%	23%	31%
Samsung SDI	006400 KS	Sonny Lee	OW	ESS battery	22%	30%	31%	33%	44%	49%
Sungrow	300274 CH	Alan Hon	OW	PCS+EMS+integration	42%	49%	53%	n/a	n/a	n/a
Deye	605117 CH	Alan Hon	OW	PCS+battery+packs	74%	86%	89%	n/a	n/a	n/a
Nari	600406 CH	Stephen Tsui	OW	BMS+PCS+EMS+integration	<10%	n/a	n/a	n/a	n/a	n/a

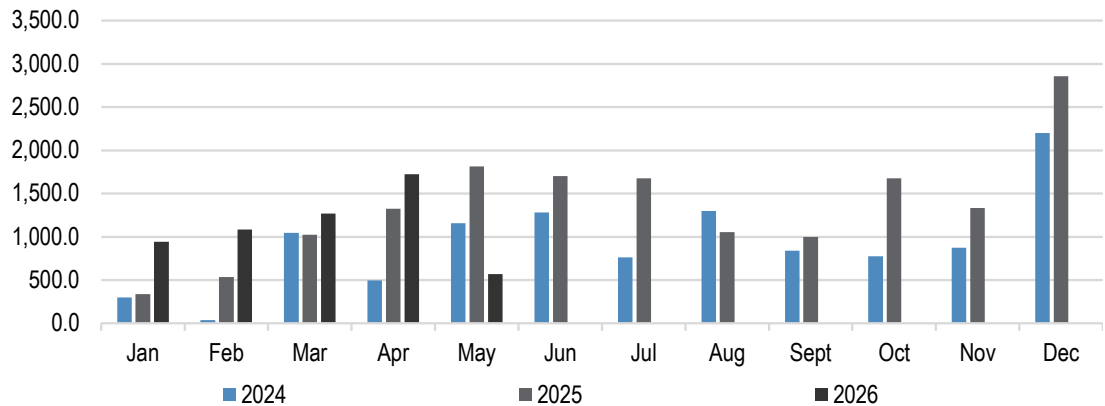
Source: Company data, J.P. Morgan estimates. Note: ESS battery may include BMS or system integration. EVE's ESS volume exposure refers to ESS battery volume over total power battery, not including consumer battery. Note: Gotion's FY25 exposure is JPMc. Note: SDI's total revenue includes electronic materials and small battery, while volume excludes electronic materials and small battery.

Table 2: Global ESS shipment forecasts

ESS battery shipment	2021	2022	2023	2024	2025	2026E	2027E	2028E
Global shipment by end demand market								
China market demand	26	64	139	155	257	501	606	697
		145%	117%	12%	65%	95%	21%	15%
Ex-China market demand	39	62	74	175	382	635	892	1,091
		57%	20%	136%	118%	66%	40%	22%
Global ESS battery shipment (GWh)	66	126	213	330	639	1,136	1,498	1,789
yoy		92%	70%	55%	93%	78%	32%	19%

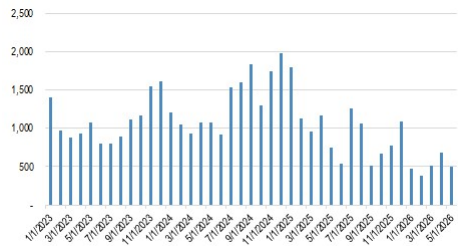
Source: ICCSino, J.P. Morgan estimates.

Figure 1: US BESS installations (MW)



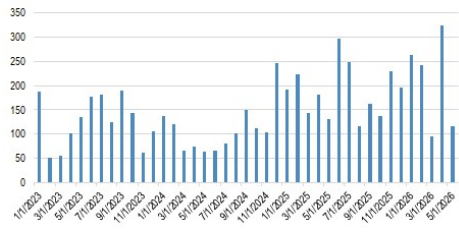
Source: EIA.

Figure 2: US: China battery imports (\$mn) -52% y/y in 5M26



Source: United States International Trade Commission.

Figure 3: US: Korea battery imports (\$mn) +38% y/y in 5M26



Source: United States International Trade Commission.

Summary of latest ESS battery production and shipment trends

Table 3: Summary of ESS battery production trends

GWh	2025		1Q26			2Q26			1H26	
	Production	Y/Y	Production	Q/Q	Y/Y	Production	Q/Q	Y/Y	Production	Y/Y
Global ESS battery production	609.1	76%	224.7	11%	119%	285.5	27%	109%	510.2	113%
By battery producer country:										
KR/JP battery players	19.9	121%	7.9	-5%	192%	10.1	27%	195%	18.1	194%
CH battery players	589.2	75%	216.8	11%	117%	275.4	27%	107%	492.2	111%

Source: ICCSino, J.P. Morgan.

Table 4: Summary of ESS battery shipment trends (monthly)

GWh	26-Jun	Y/Y	M/M	Mix
Global ESS battery shipments	100.9	66%	3%	100%
KR/JP battery players	3.4	194%	3%	3%
CH battery players	97.5	64%	3%	97%
Global ESS battery shipments by end-demand region	100.9	66%	3%	100%
China domestic demand	47.5	184%	4%	47%
Ex-China demand	53.5	22%	3%	53%
China exports (direct exports + exports by ESS customers)	50.0	17%	3%	50%
JP/KR players	3.4	194%	3%	3%
Chinese player shipments by end-demand application	97.5	64%	3%	100%
Utility-scale	70.7	43%	0%	73%
Commercial & Industrial (C&I)	11.6	165%	9%	12%
Telecom base station	1.7	101%	13%	2%
Residential	12.2	170%	13%	12%
Portable	0.4	95%	14%	0.4%
UPS	1.0	1517%	162%	1.0%
Chinese player shipments by end-markets	97.5	64%	3%	100%
China	47.5	184%	4%	49%
US	6.4	-68%	2%	7%
EU	19.9	106%	7%	20%
RoW	23.7	82%	0%	24%

Source: ICCSino, J.P. Morgan. Note: Utility storage includes photovoltaic and wind power energy storage and independent energy storage power stations.

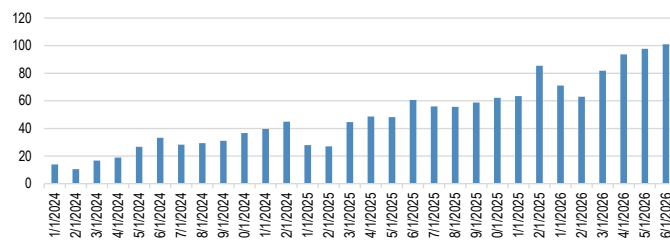
Table 5: Summary of ESS battery shipment trends (YTD)

GWh	2025	Y/Y	Mix	1H26	Y/Y	Mix	1Q26	Y/Y	2Q26	Q/Q	Y/Y
Global ESS battery shipments	638.8	93%	100%	508.3	98%	100%	215.9	117%	292.4	35%	86%
KR/JP battery players	17.3	87%	3%	17.0	188%	3%	7.0	173%	10.0	43%	200%
CH battery players	621.5	94%	97%	491.3	96%	97%	208.9	115%	282.4	35%	83%
Global ESS battery shipments by end-demand region	638.8	93%	100%	508.3	98%	100%	215.9	117%	292.4	35%	86%
China domestic demand	256.8	66%	40%	230.3	141%	45%	90.0	148%	135.3	50%	137%
Ex-China demand	381.9	118%	60%	278.0	72%	55%	125.9	105%	157.0	25%	56%
China exports (direct exports + exports by ESS customers)	364.7	120%	57%	265.9	71%	52%	118.9	102%	147.0	24%	52%
JP/KR players	17.3	87%	3%	17.0	188%	3%	7.0	173%	10.0	43%	200%
Chinese player shipments by end-demand application	621.5	94%	97%	491.3	96%	97%	208.9	115%	282.4	35%	83%
Utility-scale	501.2	97%	81%	377.5	88%	77%	166.1	109%	211.4	27%	74%
Commercial & Industrial (C&I)	54.9	104%	9%	55.2	148%	11%	22.3	140%	32.9	47%	154%
Telecom base station	10.0	-2%	2%	7.2	54%	1%	2.8	29%	4.4	56%	75%
Residential	51.8	110%	8%	48.3	128%	10%	17.1	248%	31.2	83%	91%
Portable	2.5	-8%	0%	1.6	24%	0%	0.6	-6%	1.0	62%	54%
UPS	1.0	-32%	0%	1.7	142%	0%	0.2	-46%	1.5	619%	372%
Chinese player shipments by end-markets	621.5	94%	97%	491.3	96%	97%	208.9	115%	282.4	35%	83%
China	256.8	66%	40%	230.3	141%	45%	90.0	148%	135.3	50%	137%
US	132.7	126%	21%	38.0	-38%	8%	19.0	-25%	19.0	0%	-47%
EU	104.2	140%	17%	94.2	133%	19%	38.1	217%	56.1	47%	97%
RoW	127.7	101%	21%	127.2	136%	26%	55.3	160%	71.9	30%	120%

Source: ICCSino, J.P. Morgan. Note: Utility storage includes photovoltaic and wind power energy storage and independent energy storage power stations.

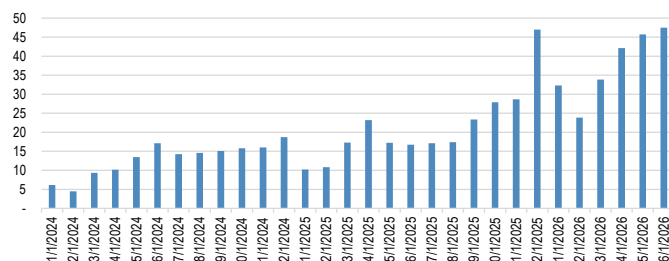
ESS battery demand in different regions

Figure 4: Global ESS battery shipments (monthly) (Unit: Gwh)



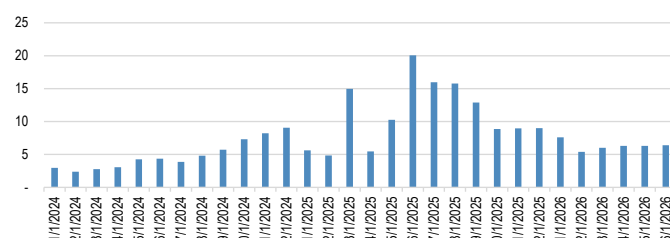
Source: ICCSino, J.P. Morgan

Figure 5: China domestic demand ESS shipments (monthly) (Unit: Gwh)



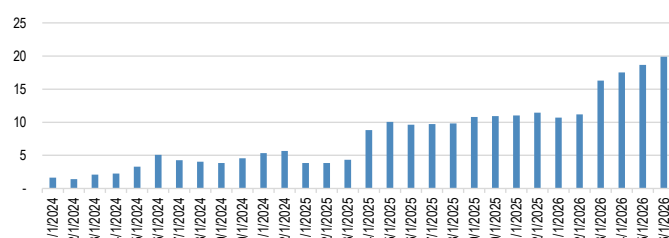
Source: ICCSino, J.P. Morgan

Figure 6: Chinese players' ESS battery exports to the US (monthly) (Unit: Gwh)



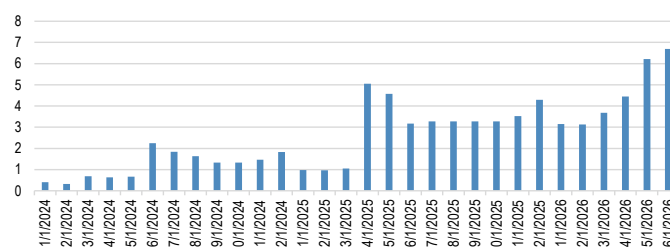
Source: ICCSino, J.P. Morgan

Figure 7: Chinese players' ESS battery exports to the EU (monthly) (Unit: Gwh)



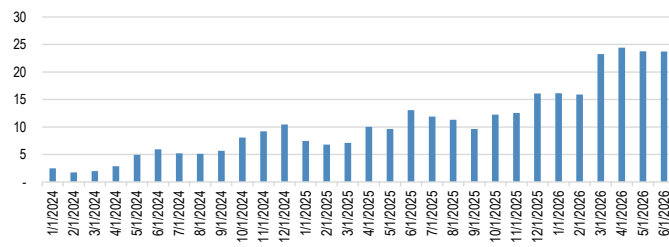
Source: ICCSino, J.P. Morgan

Figure 8: Chinese players' ESS battery exports to the EU residential market (monthly) (Unit: Gwh)



Source: ICCSino.

Figure 9: Chinese players' ESS battery exports to RoW (markets excluding China, the US and the EU) (monthly) (Unit: Gwh)



Source: ICCSino.

ESS battery inventory trends

Table 6: Chinese players' ESS battery production, shipment and inventory trends

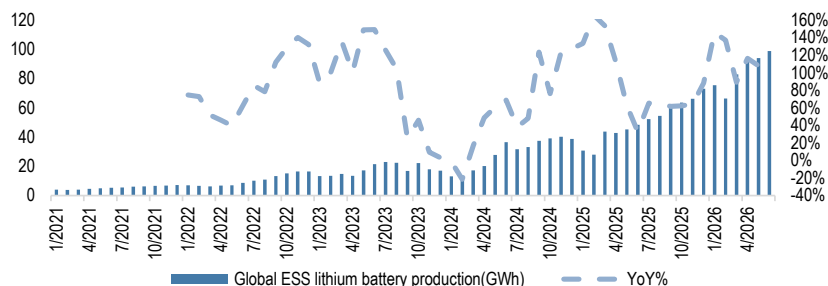
GWh	1Q25	2Q25	3Q25	4Q25	1Q26	FY25		26-Jan	26-Feb	26-Mar	26-Apr	26-May	26-Jun
Industry production volume	100	133	162	194	217	589		73	64	80	89	91	96
Industry shipment volume	97	154	166	205	209	622		69	61	79	90	94	98
Inventory changes	3	-21	-4	-10	8	-32		4	3	1	-1	-4	-2

Source: ICCSino, J.P. Morgan.

Global ESS battery volume trend

Global ESS battery shipments slowed on m/m growth due to capacity constraints, but maintained strong y/y momentum, up 98% y/y YTD on top of 93% y/y in FY25. Growth is driven by: (1) strong China exports, supported by surging demand from emerging markets and the EU; (2) strong China domestic demand, fueled by Doc136, Doc114 and supportive national/provincial policies.

Figure 10: Global ESS battery production trend

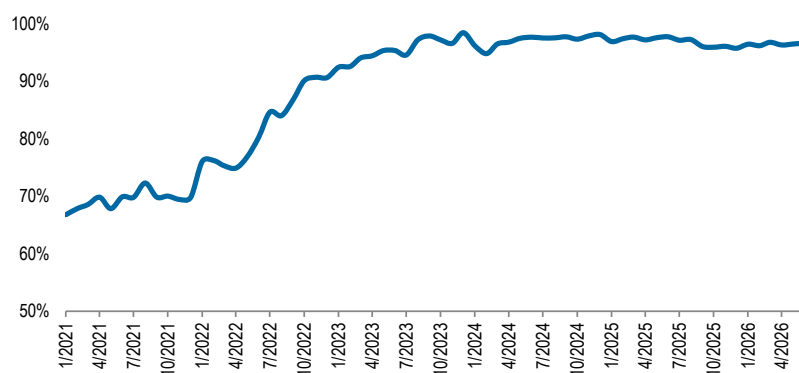


Source: ICCSino, J.P. Morgan.

Chinese players' ESS battery volume trend

Chinese battery manufacturers have held a 97% global share YTD (flat vs. 97% in 2025/2024).

Figure 11: Chinese ESS battery players' market share as a % of global (based on production)



Source: ICCSino, J.P. Morgan.

Sales by region analysis

China's domestic market accounted for 45% of total Chinese ESS battery shipments in 1H26, up from 40% in 2025. RoW represented 26%, the EU 19% and the US 8%. Export sales by Chinese battery makers to the US have declined 38% YTD, reflecting the impact of the OBBBA. Shipment growth remained robust across all regions except the US: China domestic shipments have risen 140% y/y, EU shipments have increased 130% y/y, and RoW shipments have grown 135% y/y YTD.

Chinese battery players' shipment breakdown by region (1H26):

- **CATL:** About 70% of shipments were overseas (vs. 77% in 2025 and 65% in 2024), supporting higher profitability due to stricter quality requirements and a more favorable competitive landscape. CATL also has higher US exposure than its tier-2 peers.
- **Tier-2 players:** About 65-75% of Rept's and EVE's shipments were overseas, with ~40-60% to RoW. BYD shipped ~65% to the overseas market. On the other hand, CALB shipped ~60-65% to the domestic Chinese market.

Chinese players' market share by region (1H26):

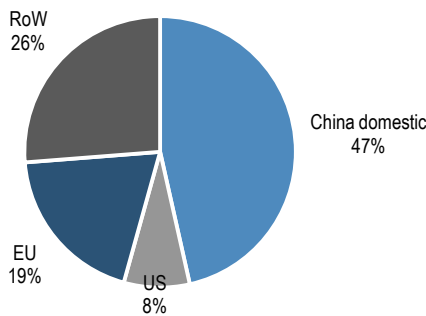
- **Global:** CATL ranked #1, followed by EVE, Hithium and BYD.
- **China:** The market is highly competitive with low concentration; CATL held a **16%** share (up from 14% in 2025, down from 25% in 2024). We expect CATL to continue to gain share in 2026 post-Doc136 and with capacity expansion.
- **US:** CATL led, with a ~60% share, followed by Hithium and EVE among Chinese suppliers.
- **EU:** CATL held a ~20% share, followed by EVE, Rept and BYD.

- **RoW:** CATL held a ~30% share, followed by EVE, BYD, Rept and CALB.

By end application:

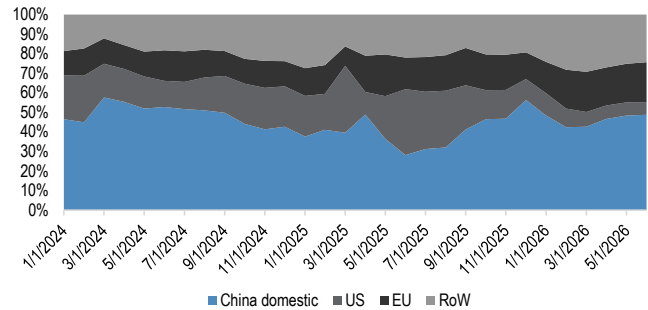
- **Utility-scale ESS:** China accounted for a ~50% share (up from 42% in 2025); regional and player breakdowns were similar to the overall market.
- **Residential ESS:** The EU held a ~60% share; China's residential market was negligible. Rept, EVE and Great Power were the top three globally (EU, US, RoW), collectively holding a 67% share, followed by BYD.

Figure 12: Chinese players' ESS battery shipments by region (YTD)



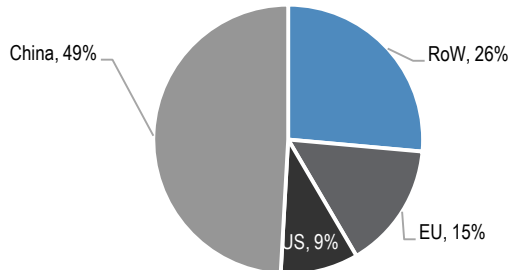
Source: ICCSino, J.P. Morgan.

Figure 13: Chinese players' ESS battery shipments by region



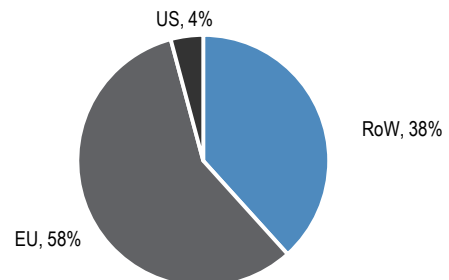
Source: ICCSino, J.P. Morgan.

Figure 14: Chinese players' utility-scale ESS battery shipments by region (YTD)



Source: ICCSino, J.P. Morgan.

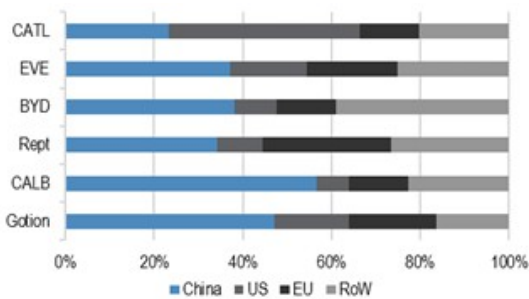
Figure 15: Chinese players' residential ESS battery shipments by region (YTD)



Source: ICCSino, J.P. Morgan.

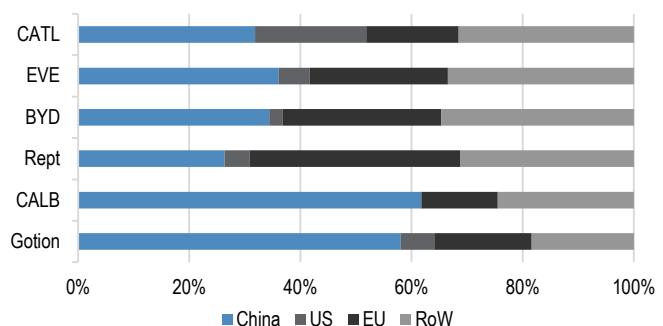
Chinese battery makers' sales mix by region

Figure 16: Chinese players' ESS battery shipments by region (FY25)



Source: ICCSino, J.P. Morgan.

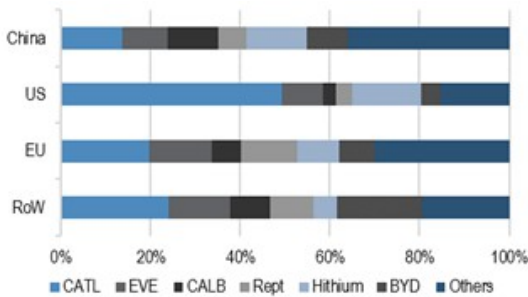
Figure 17: Chinese players' ESS battery shipments by region (YTD)



Source: ICCSino, J.P. Morgan.

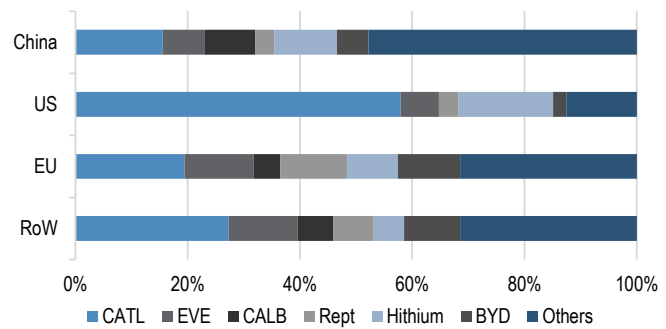
Market share by region (among Chinese suppliers only)

Figure 18: Chinese players' market share in each ESS battery market (FY25)



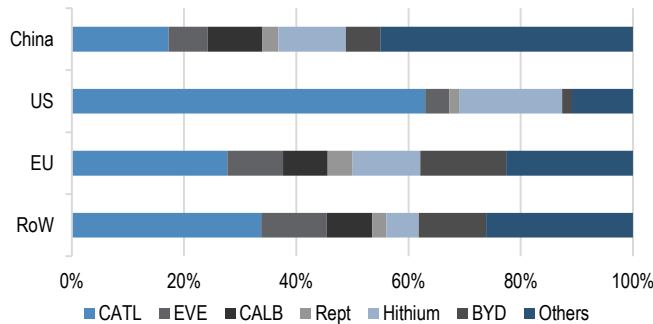
Source: ICCSino, J.P. Morgan. Note: Market share among Chinese suppliers only.

Figure 19: Chinese players' market share in each ESS battery market (YTD)



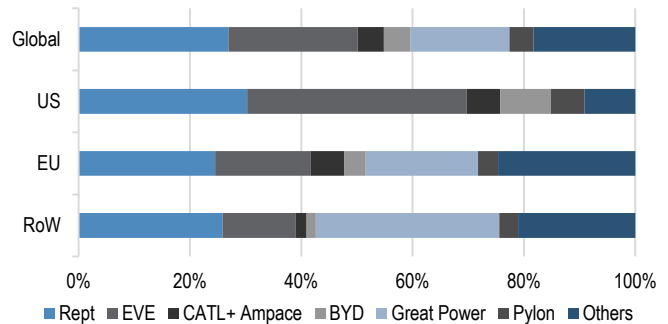
Source: ICCSino, J.P. Morgan. Note: Market share among Chinese suppliers only.

Figure 20: Chinese players' market share in each utility-scale ESS battery market (YTD)



Source: ICCSino, J.P. Morgan.

Figure 21: Chinese players' market share in each residential ESS battery market (YTD)

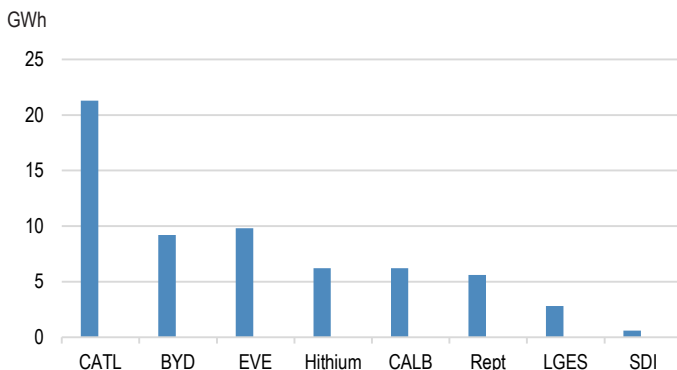


Source: ICCSino, J.P. Morgan.

Global ESS battery production volume by player

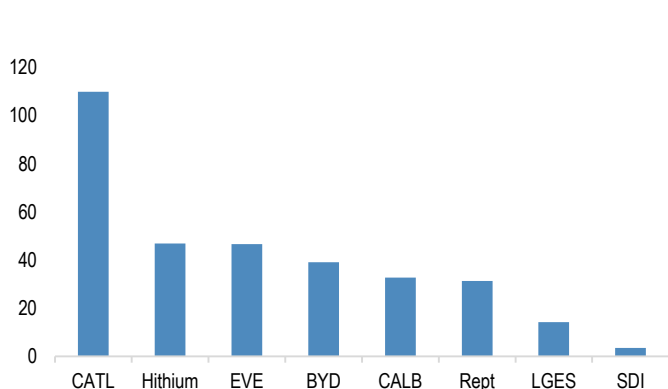
CATL maintains its global leadership in ESS battery production and shipment volumes. A 10 ppt drop in market share in 2025 vs. 2024 is attributable mainly to capacity constraints. CATL's market share further decreases 2% in YTD26, according to ICCSino data. The tier-2 battery players like BYD, EVE, Hithium and CALB market shares each fell ~2ppts. Conversely, tier-3 players such as Great Power, Ganfeng and Cornex saw their market shares each increase ~2ppts. We believe the shifts reflect top players' capacity constraints.

Figure 22: Global ESS battery shipments by key player (Jun-26)



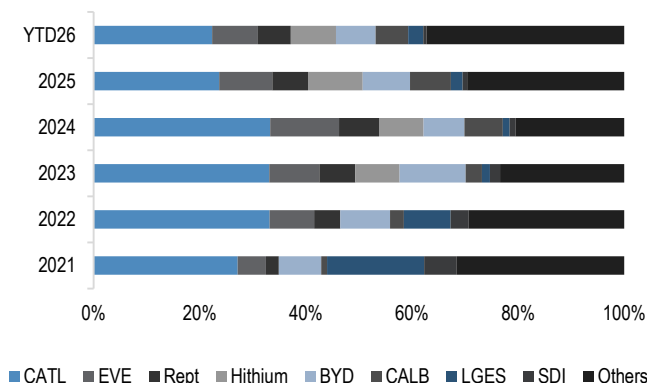
Source: ICCSino, J.P. Morgan. Note: Data are based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 23: Global ESS battery shipments by key player (YTD26)



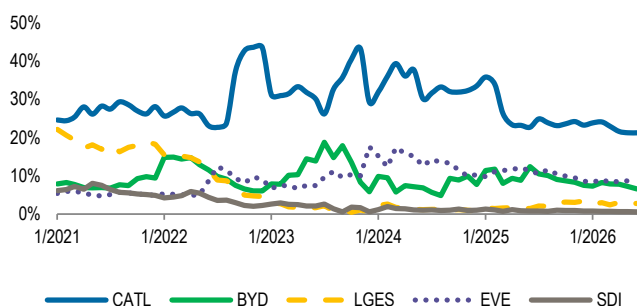
Source: ICCSino, J.P. Morgan. Note: Data are based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 24: Global ESS battery market share by key player (based on ICCSino production volume)



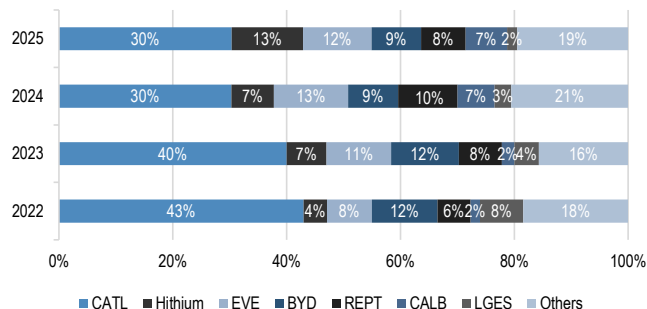
Source: ICCSino, J.P. Morgan. Note: Market share is based on production volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 26: Global ESS battery market share by key player (based on production volume)



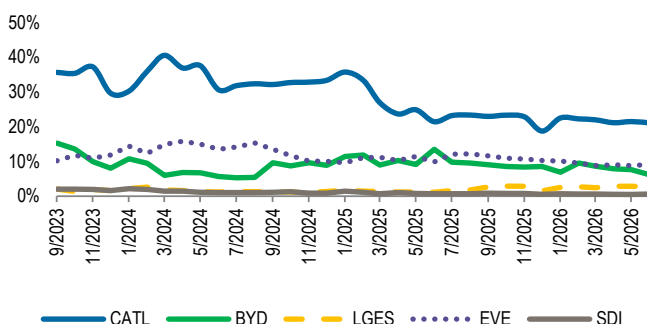
Source: ICCSino, J.P. Morgan. Note: Market share is based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 25: Global ESS battery market share by key player (shipment volume based on SNE Research)



Source: SNE, J.P. Morgan. Note: CATL's volume estimates for FY24 and FY25 were based on sales recognition and may not be compared directly to FY21-23.

Figure 27: Global ESS battery market share by key player (based on shipment volume)



Source: ICCSino, J.P. Morgan. Note: Market share is based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

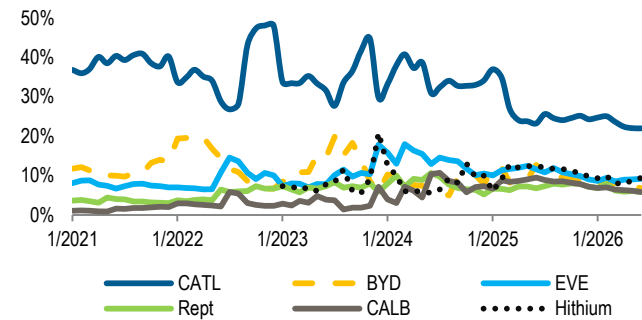
ESS battery market share by player: Chinese manufacturer breakdown

CATL's market share fell 2ppts in 1H26 vs. FY25. BYD, EVE, Hithium and CALB market shares each fell ~2ppts. Conversely, tier-3 players such as Great Power, Ganfeng and Cornex saw their market shares each increase by ~2 ppts. We believe the shifts reflect top players' capacity constraints.

By end application:

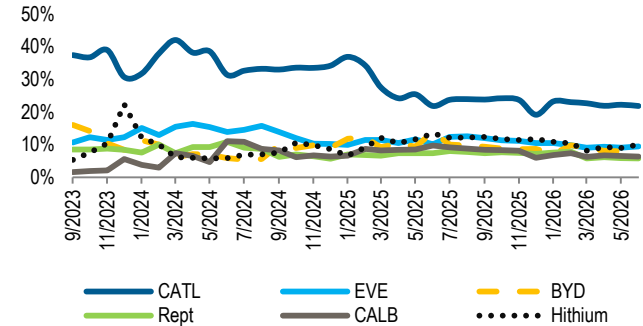
- **Utility-scale market:** CATL remains the global top player, while its market share has decreased 1ppt YTD vs. FY25.
- **Commercial & industrial:** CATL, Rept, EVE and Hithium led the C&I ESS market, together holding ~45-50% of the market YTD and 48% in FY25.
- **Residential ESS:** Rept, EVE, Great Power and BYD led the residential ESS market, together holding ~65-70% of the market YTD and 61% in FY25.

Figure 28: Chinese players' ESS battery market share breakdown (based on production volume)



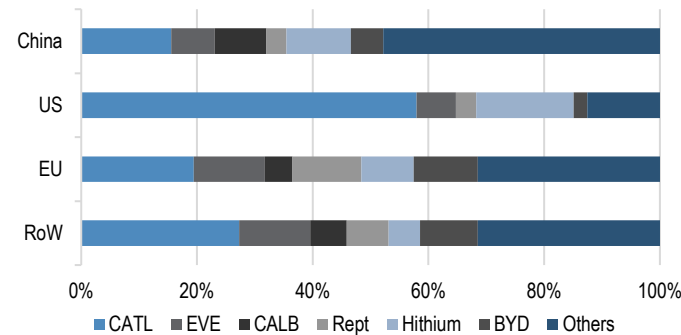
Source: ICCSino, J.P. Morgan.

Figure 29: Chinese ESS battery market share by key player (based on shipment volume)



Source: ICCSino, J.P. Morgan.

Figure 30: Chinese players' ESS battery market share breakdown

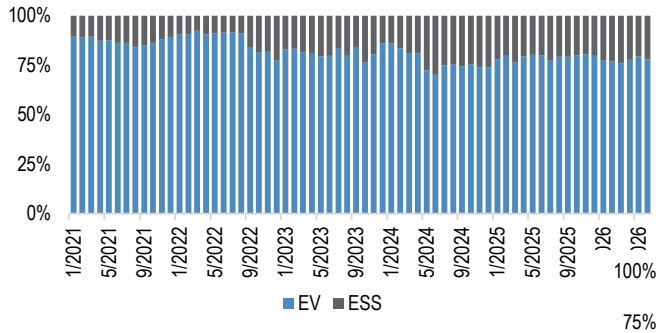


Source: ICCSino, J.P. Morgan.

CATL analysis

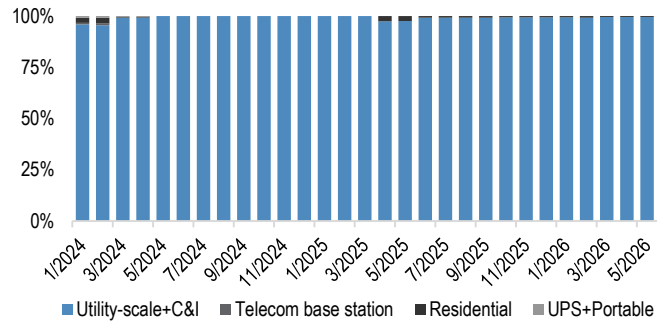
ESS accounts for ~22% of CATL's total battery production volume YTD, based on ICCSino and ZE Consulting's estimates (up from ~21% in 2025).

Figure 31: CATL's production breakdown between EV and ESS demand



Source: ICCSino, J.P. Morgan.

Figure 32: CATL's ESS shipments by end demand application

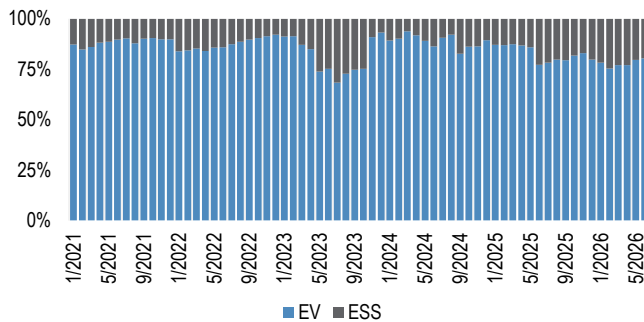


Source: ICCSino, J.P. Morgan.

BYD analysis

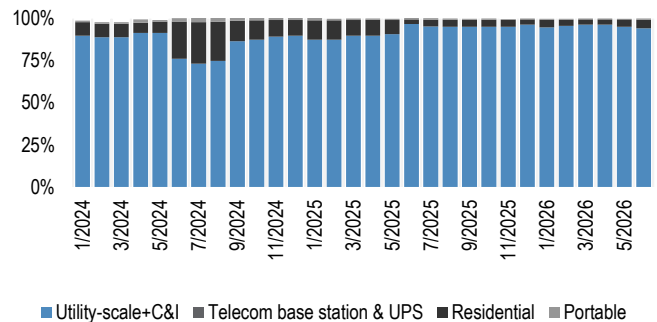
ESS accounts for 22% of BYD's total battery production volume YTD, based on ICCSino and ZE Consulting estimates, up from 17% in 2025 and 11% in 2024.

Figure 33: BYD's ESS production breakdown by EV and ESS demand



Source: ICCSino, J.P. Morgan.

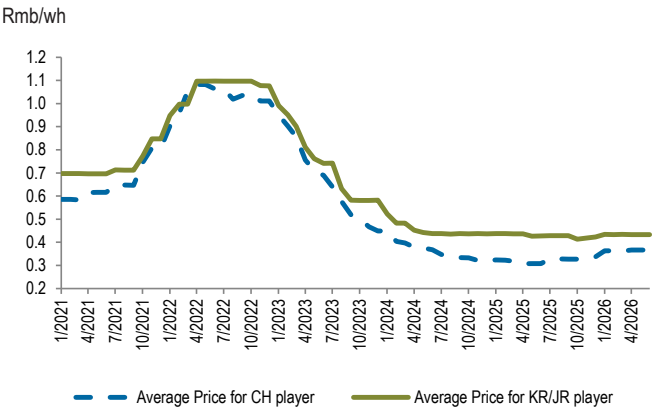
Figure 34: BYD's ESS shipments by end demand application



Source: ICCSino, J.P. Morgan.

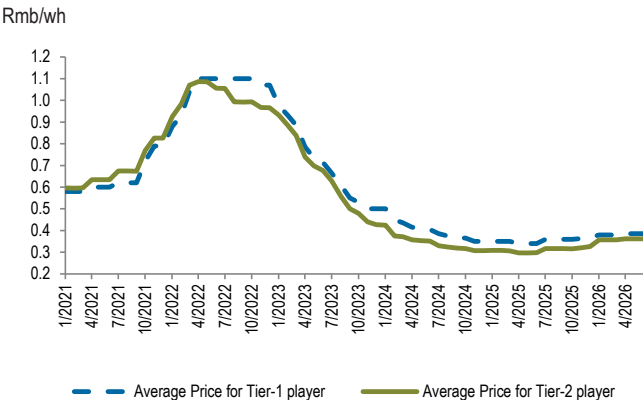
ESS battery prices

Figure 35: ESS battery prices: CH vs. KR/JP players



Source: ICCSino, J.P. Morgan. Note: Prices include VAT and are based on new contract prices.

Figure 36: ESS battery prices: Chinese tier-1 vs. tier-2



Source: ICCSino, J.P. Morgan. Note: Prices include VAT and are based on new contract prices.

Valuation comparison

Table 7: Valuation comparison of ESS-related stocks

				Price (LC)	Mkt cap	P/E (x)		P/BV (x)		ROE		Price change
Company	Code	Rec	Analyst	16-Jul	(US\$ M)	2026E	2027E	2026E	2027E	2026E	2027E	YTD
PCS/HVDC-related						30.1	21.4	5.2	4.3	22%	24%	5%
Ginlong	300763 CH	NC	N/A	61	3,615	16.4	11.6	2.4	2.0	15%	17%	-14%
Ningbo Deye	605117 CH	OW	Alan Hon	85	16,068	19.7	15.5	8.3	6.6	42%	41%	39%
Goodwe	688390 CH	NC	N/A	71	2,567	18.2	13.2	4.7	3.5	27%	28%	15%
KSTAR	002518 CH	NC	N/A	38	3,251	24.3	17.4	4.0	3.4	17%	20%	-22%
Sungrow	300274 CH	OW	Alan Hon	110	33,739	15.1	12.0	3.9	3.2	29%	29%	-36%
Sineng	300827 CH	NC	N/A	24	1,999	18.9	14.6	2.7	2.3	15%	16%	-29%
Zhongheng	002364 CH	NC	N/A	48	4,036	98.4	65.3	10.1	9.0	10%	14%	83%
ESS battery-related						26.5	18.0	2.5	2.2	12%	14%	-4%
CATL-A	300750 CH	OW	Rebecca Wen	367	256,037	17.6	14.5	4.1	3.4	26%	27%	1%
CATL-H	3750 HK	OW	Rebecca Wen	606	256,037	25.1	20.6	6.0	5.1	26%	27%	18%
CALB	3931 HK	OW	Rebecca Wen	20	4,576	11.6	8.1	0.8	0.7	7%	9%	-19%
EVE Energy	300014 CH	N	Rebecca Wen	52	16,705	15.6	12.7	2.2	1.9	15%	16%	-21%
Gotion	002074 CH	UW	Rebecca Wen	26	7,076	23.5	17.2	1.5	1.4	7%	9%	-33%
BYD-A	002594 CH	OW	Nick Lai	92	115,851	19.5	15.2	2.9	2.5	16%	18%	-6%
BYD-H	1211 HK	OW	Nick Lai	89	115,851	16.3	12.7	2.4	2.1	16%	18%	-6%
Pylon	688063 CH	NC	N/A	45	1,633	28.4	19.4	1.2	1.1	4%	6%	-21%
LGES	373220 KS	OW	Parsley Ong	330,000	51,987	80.8	41.7	2.5	2.2	5%	8%	-11%
Samsung SDI	006400 KS	OW	Sonny Lee	426,500	23,139	60.0	26.1	1.6	1.5	3%	6%	58%
Simple average						28.3	19.7	3.8	3.2	17%	19%	1%

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Bloomberg consensus estimates for Not Covered (NC) stocks, J.P. Morgan estimates for all others.

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- [China ESS: Expert call takes: Tender strength and policy support to drive a V-shaped recovery](#), Sep-2025
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- [ESS battery: Key takeaways from expert call with GGII](#), Nov-2024
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- [China Clean Energy: Desert Power: Is the Middle East becoming an oasis for clean energy growth?](#), Oct-2024
- [ESS Battery: Lifting shipment forecast; Tier-1 suppliers benefit from change in policy direction. CATL the top pick](#), Mar-2024
- [ESS Battery: Cutting ESS forecast; inventory piled up in 2H23](#), Jan-2024

Companies Discussed in This Report (all prices in this report as of market close on 16 July 2026, unless otherwise indicated)
Nari Technology - A(600406.SS/Rmb22.10/OW)

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Date	Rating	Price (W)	Price Target (W)
26-Oct-23	OW	409500	570,000
25-Jan-24	OW	380500	475,000
23-Apr-24	OW	378500	430,000
28-Jul-24	N	325000	330,000
08-Oct-24	N	420000	370,000
09-Nov-24	N	398500	340,000
09-Jul-25	OW	307000	360,000
27-Jul-25	OW	363500	420,000
27-Oct-25	OW	486500	580,000
24-Dec-25	OW	390000	500,000
09-Jan-26	OW	369500	430,000
08-Feb-26	OW	389500	450,000
22-Apr-26	OW	488000	510,000
30-Apr-26	OW	473000	530,000
07-Jul-26	OW	354500	430,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 21, 2022. All share prices are as of market close on the previous business day.

Samsung SDI (006400.KS, 006400 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
28-Jul-23	OW	662000	1,000,000
19-Oct-23	OW	512000	850,000
12-Dec-23	OW	446000	600,000
31-Jan-24	OW	374500	550,000
31-Jul-24	OW	330500	400,000
07-Oct-24	OW	361500	450,000
16-Mar-25	N	191400	210,000
25-Apr-25	N	184700	200,000
29-Oct-25	N	309000	330,000
02-Mar-26	N	468000	400,000
30-Mar-26	OW	398500	650,000
24-Apr-26	OW	634000	720,000
28-Apr-26	OW	638000	770,000
14-Jul-26	OW	450000	630,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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A (688005.SS), Wuxi Lead - A (300450.SZ), Wuxi Lead - H (470.HK), Yunnan Energy (002812.SZ) **Hon, Alan** : Arctech - A (688408.SS), CGN Power (1816) (1816.HK), Daqo (DQ), Datang Renewable (1798) (1798.HK), Deye - A (605117.SS), Envicool - A (002837.SZ), Flat Glass (6865.HK), GCL Tech (3800.HK), Goldwind - A (002202.SZ), Goldwind - H (2208.HK), Hangzhou First - A (603806.SS), Huaneng Hydropower - A (600025.SS), LONGi Green - A (601012.SS), Longyuan (0916) (0916.HK), Maxwell - A (300751.SZ), Mingyang - A (601615.SS), Orient Cables - A (603606.SS), SDIC Power - A (600886.SS), Shenzhen SC - A (300724.SZ), Sichuan Chuantou - A (600674.SS), Sungrow - A (300274.SZ), Tongwei - A (600438.SS), Xinyi Solar (0968) (0968.HK), Yangtze Power - A (600900.SS)

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IB clients**	83%	80%	73%
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IB clients**	95%	92%	87%

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**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

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